

**Liability and operational standards for nonprofits selling rescued food:
a case study of *Foodsharing Ottawa***

by Anne Merritt

JD student, English Common Law Program

University of Ottawa Faculty of Law

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Introduction

Canadian households waste nearly 2.3 million tonnes of edible food per year, costing the average household \$1,300 per year.¹ In addition to this financial impact, there is an avoidable environmental cost to such waste, as it increases demand on municipal waste management programs and adds greenhouse gas-producing organic matter to landfills.² This waste also has social equity implications of throwing away viable food that could otherwise help feed the 23% of people in the ten provinces who live in a food-insecure household.³ Across the country, nonprofit organizations are addressing this issue by running food rescue operations, recovering

¹ “[Food Waste in the Home](#)” (2023), online: National Zero Waste Council.

² *Ibid.*

³ “[Canadian Income Survey, 2022](#)”, *The Daily* (26 March 2024), online: Statistics Canada.

still-edible food that would otherwise be thrown away and diverting it back into communities to feed households in need.

One example of this model is Foodsharing Ottawa, an incorporated non-profit organization, registered since 2019. It does not hold charitable status, and as such, it is subject to Ontario's *Not for Profit Corporations Act*.⁴ The organization collects donated food on an ongoing basis from local partner organizations (e.g., COBS Bread, Costco) and redistributes it to local community organizations (e.g., The Salvation Army, the Ottawa Mission).⁵ The organization does not have a central office, storage facility, or kitchen facility. The donated food is both acquired and redistributed by volunteers by their own means, typically through the use of their own private vehicles.⁶

Foodsharing Ottawa frequently receives more donated food than they can reasonably redistribute back into the community. Because throwing this food away would undermine their core objectives of minimizing food waste, the organization is seeking reasonable and purposeful ways of managing the surplus. Re-selling the rescued food at nominal prices would have the two-pronged benefit of reducing food waste within their own inventory and raising money to cover the operational costs of running the organization. However, this initiative would give rise to several legal considerations around both the status and the potential liability of donor partners and the organization itself.

This paper aims to address the relevant legal considerations surrounding Foodsharing Ottawa's resale options by reviewing three feasible food reselling models and evaluating the relevant laws and regulations surrounding donor and organizational liability in each context. It

⁴ *Not-for-Profit Corporations Act*, SO 2010, c 15. [NFPCA]

⁵ "[About Us](#)" (2023), online (pdf): Foodsharing Ottawa.

⁶ Interview with Wendy Leung (Foodsharing Ottawa) by author (Law Student, University of Ottawa, Ottawa ON) (19 September 2023) online: *Zoom*.

also discusses the food preparation quality, processing, and distributions standards for each suggested revenue model. Finally, this paper makes the case for the food box membership model as the most viable for Foodsharing Ottawa in terms of operational requirements and donor and organizational liability considerations. Though the following analysis explores laws, regulations, and processes specific to an Ottawa-area nonprofit, the proposed model is a viable one for any food rescue organizations across Canada looking to both mitigate waste and generate revenue.

I. Summary of Recommended Food Reselling Models

Considering Foodsharing Ottawa’s limited funds and current lack of access to a commercial kitchen, there are three feasible food resale models. Each recommendation is contingent on supply: donor organizations must agree to allow revenue to be accrued from their donated goods.

Home-Based Food Business Model

In Ontario, smaller-scale entrepreneurs may sell certain “low-risk” foods prepared in a non-commercial kitchen. To become a recognized home-food business, Foodsharing Ottawa would need to report to Ottawa Public Health and be subject to kitchen inspections. However, certain food-handling standards are relaxed for this small-scale context.⁷ If Foodsharing Ottawa can secure regular and consistent access to a kitchen for preparation, and regular and consistent access to staple ingredients for its prepared goods, the organization could be permitted to sell products online or through farmers’ markets (see below).

⁷ “[A Guide to Starting a Home-based Food Business](#)” (November 2021), online (pdf): Ontario Ministry of Health. [MoH]

Farmers' Market/Special Event Vendor Model

In this model, different food types have different food safety standards. For example, if vendors sell food that must be kept hot or cold, or require on-site assembly (e.g., made-to-order burritos), more stringent food safety standards apply. As such, selling prepackaged low-risk foods under the guidelines of the Home-Based Food Model would be a pragmatic first step into this sales model.

Food Box Membership Model

In this model, paid members are entitled to receive regularly scheduled food boxes and consent to the makeup of the boxes (e.g., seasonal variation, food past its sell-by date; day-old bakery items) in the membership terms and conditions. If Foodsharing Ottawa can secure a fixed location for assembling boxes and a fixed driver schedule for deliveries, or else a fixed location for members to collect boxes, this could be the most viable of the three options. The organization would not need to process the food items so no commercial kitchen space would be required. Further, set membership terms and conditions could help protect the organization from commercial liability.

II. Donor and Organizational Liability

Under Ontario's *Donation of Food Act*, Foodsharing Ottawa and its donor partners would not be liable for any consumer injury/illness for its resold food, provided the income from those sales is allocated for operational costs and does not qualify as profit.⁸

⁸ *Donation of Food Act*, SO 1994, c 19, s 2.

Donor Liability

Under Foodsharing Ottawa’s present model, donor organizations are not legally responsible for any damages that result from the consumption of the food, unless the food is unfit for human consumption.⁹ The law does not explicitly articulate whether donors are liable if the food is distributed for profit. However, Ontario’s *Donation of Food Act* states that a person who donates food is not typically liable for damages caused by consumption.¹⁰ The law does not hedge this protection by stipulating what can or cannot happen after the food is donated. It is reasonable to infer, then, that the donor is protected under this law once the act of donation is complete. For example, if Costco gives a donation of food to Foodsharing Ottawa, they are protected under the *Act* as a donor organization. If Foodsharing Ottawa elects to re-sell Costco’s donated food for profit, Costco’s donor protection very likely remains intact.

Organizational Liability

Distributors of donated food, such as Foodsharing Ottawa, are not legally responsible for any damages that result from the consumption of that food, unless the food was unfit for human consumption.¹¹ However, this protection does not apply to someone who distributes donated food for profit.¹² Notable in the *Donation of Food Act*, however, is the use of the word “profit,” which is not defined in the *Act* itself. By its ordinary meaning, “profit” does not capture all revenue, but rather, revenue minus the total expenses of operating or producing that from which

⁹ *Ibid* at 1(1).

¹⁰ *Ibid*.

¹¹ *Ibid*.

¹² *Ibid* at 2.

the financial gain is derived.¹³ A strong legal argument can be made that money raised to cover operational costs for a non-profit organization should not be considered “profit.” This interpretation would mean that if Foodsharing Ottawa sold donated food only for the purpose of raising money to cover operational costs, it would still be entitled to the liability protections of the *Act*. In sum, Foodsharing Ottawa is likely still protected from liability under the *Donation of Food Act* if it resells food at nominal fees and allocates all revenue to its own organizational costs.

Reviewing the donor-organization relationship and agreements

If Foodsharing Ottawa holds formal agreements with their donor partners, they will need to review the terms of the contracts for any stipulations regarding sales or revenue. If a donor partner contract states that no revenue may be collected from the donated food items, Foodsharing Ottawa will need to meet with those partners and update the terms of agreement so as not to violate their contracts. Donor partner COBS Bread, for example, has a standard Food Donation Agreement form on its company website which clarifies that donated products are not to be re-sold under any circumstances, and must be distributed free of charge.¹⁴ Agreements such as these would need to be renegotiated. If this is not possible, for example, if a donor is a franchisee without the authority to renegotiate such terms themselves, Foodsharing Ottawa will need to exclude certain donations from their inventory of sellable goods.

If Foodsharing Ottawa does not hold signed contractual agreements with donor partners, it would be in their interest to prepare such documents to clarify donation terms and avoid

¹³ See *OED* (online: Oxford University Press, 2024) sub verbo “profit”; Jonathan Law and Elizabeth A. Martin, *A Dictionary of Law*, 7th ed (online: Oxford University Press, 2014) sub verbo “profits”.

¹⁴ “[Food Donation Agreement Template](#),” (last visited 14 November 2023) ss 4 and 7, online (pdf): COBS Bread.

misleading partners about how their donated food is being redistributed in the community. For example, Toronto's Harvest Kitchens organization states terms of sale or barter in their donor contracts. These terms clarify that the organization can sell the donated food for a nominal fee, set at 10% of the items' retail value, to cover operational costs.¹⁵ For Foodsharing Ottawa, a similar clause could read:

“(1) The donated product may be:

- distributed at no cost;
- re-sold at a nominal charge not exceeding [X%] of its retail value; *or*,
- used as an ingredient in a food item sold by Foodsharing Ottawa at a nominal charge.

(2) The sale of all food items is only for the purposes of funding Foodsharing Ottawa's organizational costs, as clarified in sections 8(3) and 89(1) of the Ontario *Not for Profit Corporations Act*.¹⁶”

Further, in these donor contracts, Foodsharing Ottawa could include a clause absolving the donor organization of liability surrounding donated food products that generate revenue through sale or paid distribution.

Liability and the Food Box Membership Model

Under the Food Box Membership Model, food recipients do not pay for products themselves, but instead pay membership fees to the organization, which grants them access to food box orders. This model is used by the Food Stash Foundation in Vancouver,¹⁷ who charge members nominal delivery fees for food boxes delivered to members' homes (see profile on p.

¹⁵ Interview with Madison Maguire (Director of Ontario Operations, Harvest Kitchens, Toronto ON) by author (Law Student, University of Ottawa, Ottawa ON) (28 September 2023) online: *Zoom*.

¹⁶ NFPCA *supra* note 4 at 8(3) and 89(1).

¹⁷ “[Rescued Food Box Program](#)” (last visited 3 November 2023), online: Food Stash Foundation. [Food Stash]

20).¹⁸ This model is also used by 3RQC in Gatineau, Quebec, who invite members to pay an access fee to an online platform where they can reserve a food box for pickup at the organization's distribution centre.¹⁹

This scheme allows the organization to bypass the conventional commercial liability and consumer protection standards of a food vendor because they are not selling the food items themselves to the customers. Instead, they are offering food inventory access to members, who have the option to participate or not. Indeed, 3RQC states on its webpage that it does not sell food, but that the membership payment is a voluntary contribution that supports the organization and allows access to their rescued food supply.²⁰

Further, in its member registration page, 3RQC clarifies the state of certain food products, saying that fresh products might be slightly damaged, dry products might be a few days past the stated best-before date but are still good to eat, and that meat and dairy products received by the organization have been frozen before their best-before date.²¹ If Foodsharing Ottawa follows this membership model, it could follow 3RQC's example and also clarify the condition of the available food items in the terms and conditions of the membership registration process. These terms would ensure that there are no misrepresentations in the membership contract. Indeed, a multi-step registration process could also serve as a platform to further educate members about food safety and labelling. Food Stash provides such educational resources online as part of its membership package, furthering one of its organizational objectives of public education to reduce food waste.²²

¹⁸ Interview with Anna Gray (Communications Specialist, Food Stash Foundation, Vancouver BC) by author (Law Student, University of Ottawa, Ottawa ON) (27 September 2023) online: *Zoom* [Anna Gray].

¹⁹ “[3R Québec – Accueil](#)” (last visited 3 November 2023), online: 3R Québec. [Accueil]

²⁰ “[Distribution Anti-Gaspillage](#)” (last visited 15 November 2023), online: 3RQC (translated from French by author).

²¹ 3R Québec, “[3R Québec](#)” (last visited 15 November 2023), online: GOrendezvous (translated from French by author).

²² Food Stash *supra* note 17.

Another food rescue nonprofit organization, Vancouver’s Quest Food Exchange (see profile on p. 20) clarifies the legal standards of its rescued and redistributed food on its website. The site states that the organization follows the food standards set in the Canadian Food Inspection Agency’s (CFIA) Acts and Regulations and explained in the CFIA “Durable Life Information on Food Products” fact sheet.²³ For the sake of transparency, Foodsharing Ottawa could emulate this model on its own website to clarify the legal standards to which they are adherent in the redistribution of their rescued food inventory.

Another example of liability protection in a food redistribution nonprofit comes from Banff Food Rescue, which outlines the food recipients’ terms and conditions on its website. Individuals or families who sign up to receive rescued food deliveries must complete a form in which they check a box stating “I understand and accept” for an allergy disclaimer before their registration is complete. They must also check a box agreeing to the Food Rescue terms and conditions to register for a delivery. Among these terms is the provision that food is received and consumed at the recipients’ own risk.²⁴ This text could be a useful template for Foodsharing Ottawa in registering new members to a food box model.

III. Organizational and Food Preparation/Distribution Standards

If Foodsharing Ottawa started re-selling food and accruing operational revenue, they would be required to follow some additional financial reporting practices within the organization. Under Ontario’s *Not-for-Profit Corporations Act*, Foodsharing Ottawa cannot directly or

²³ “[Donate Food to Quest Non-Profit Grocery Markets](#)” (last visited 22 November 2023), online: Quest Food Exchange.

²⁴ Banff Food Rescue, “[Food Rescue](#)” (last visited November 21 2023), online: Banff Collective.

indirectly distribute revenue to a member, director, or officer of the organization.²⁵ Instead, revenue must be used to further the organization's aims and projects.²⁶ Activities such as purchasing storage supplies, reimbursing volunteer drivers for the cost of gas, or maintaining the organization's website would meet this description. These financial activities would need to be disclosed in the organization's annual financial statements and approved by the directors.²⁷ Approved financial statements must be shared with members.²⁸ As a reference document and template, the Hamilton-area food rescue organization Food for Life makes their annual financial statements publicly available.²⁹

Each of the three studied food re-selling models would bring about additional organizational standards for Foodsharing Ottawa, which are outlined below.

Home-Based Food Business Model

Under this model, Foodsharing Ottawa would first need to contact Ottawa Public Health to identify itself as a food operator.³⁰ A public health inspector would then inspect the kitchen used for the business.³¹ Foodsharing Ottawa would not be required to have commercial kitchen access, but its designated kitchen space would need to comply with the Food Premises Regulation, which is discussed in further detail in Section IV.

²⁵ NFPCA *supra* note 4 at 48(1).

²⁶ Federal Economic Development Agency for Southern Ontario, "[Not-for-profit guide](#)" (17 May 2023), online: Government of Canada – Business and Industry.

²⁷ NFPCA *supra* note 4 at 83(1).

²⁸ *Ibid* at 84(1)(a).

²⁹ Glenn Graydon Wright, LLP, "[Food for Life Canada - Charitable Corporation – Financial Statements as at December 31, 2022](#)" (20 June 2023), online (pdf): Food for Life.

³⁰ MoH *supra* note 7.

³¹ *Ibid*.

Notably, the relevant regulations do not stipulate that the food preparation kitchen must be owned or licensed by the business in question. This means that Foodsharing Ottawa could use a volunteer's home kitchen, or else rent a kitchen space (e.g., in a church or non-governmental organization such as a YMCA). Further, the law does not stipulate that a business can only use one kitchen for its operations, so one volunteer would not need to commit to constant and ongoing use of their private home kitchen. However, food can only be prepared in premises that have been subject to a public health inspection and are amenable to periodic inspections in the future. In theory, Foodsharing Ottawa could make use of multiple kitchens if they have been inspected and can be inspected in the future, though multiple inspections and approvals may be onerous for both the volunteer and the public health body. The person or body supplying the kitchen would also need to confirm that running a home-based food business out of that kitchen does not conflict with the licensing or zoning bylaws issued by their municipality, building, or (if relevant) condominium corporation.³²

Depending on the type of food prepared, Foodsharing Ottawa would need to attach labels to their products. By law, all prepackaged foods must carry a label when they are being sold.³³ Notably, "one-bite confections," prepackaged foods that are sold individually and meant for single bites (e.g., lollipops, caramels) are exempt from the labelling requirement. A label for prepackaged food must include the following information:

- The common name of the food (e.g., granola)³⁴
- The business's name and location (unless indicated elsewhere on the package)³⁵
- A list of ingredients, in descending order by their proportion by weight in the product³⁶

³² Andrew Coppolino, "[Want to sell your made-at-home treats? There are new rules for home-based food businesses](#)" (16 January 2021), online: CBC News.

³³ *Food and Drug Regulations*, O reg CRC c. 870, B.01.003. [FDR]

³⁴ *Safe Food for Canadians Regulations*, SOR/2018-108, s 218(1)(a).

³⁵ *Ibid* at s 218(1)(b).

³⁶ FDR *supra* note 33 at B.01.008.2(1)(3).

- Any food allergen or gluten, beside the source in the list of ingredients (e.g., “tahini (sesame seeds)”) or in a separate statement on the label that begins with “Contains...”³⁷
- (if the item has a durable life of 90 days or less) the best before date and instructions for proper storage³⁸

Further, there are standard requirements for the appearance of the label (e.g., certain font features, dark text on a light background) that are explained in detail in the *Food and Drug Regulations*.³⁹ Foodsharing Ottawa would need to ensure compliance with these packaging standards for each of their products.

Farmer’s Market / Special Event Vendor Model

With this model, Foodsharing Ottawa would need to submit vendor applications through the Ottawa Public Health website for each market and event, two weeks before the market/event takes place.⁴⁰ The application requires basic information about the organization and the event, with details such as the water source and expected number of attendees.⁴¹

The Ottawa Farmers’ Market (OFM) is a large local market network that operates the weekly markets in the neighbourhoods of Barrhaven, Lansdowne, Orleans, and Westboro. With the OFM, Foodsharing Ottawa could apply for a vendor stall in the prepared food category, which requires that the vendor prepare the food item from scratch themselves. The market does not allow food to be resold from other producers.⁴² There is a finite number of food items that fit

³⁷ *Ibid* at B.01.010.1(1)(2).

³⁸ *Ibid* at B.01.007(1.1)(b).

³⁹ *Ibid* at B.01.008.1(1).

⁴⁰ “[Special Event and Farmers’ Market Vendor Application Form](#)” (2023), online: Ottawa Public Health. [Special Events]

⁴¹ *Ibid*.

⁴² “[Become a Vendor](#)” (last visited 21 November 2023), online: Ottawa Farmers’ Market.

this category, but several overlap with the low-risk foods of the home-based food business model, including baked goods, chocolates and desserts, and preserves, sauces, and spreads.⁴³

OFM requires its prepared food vendors to use a minimum of 15% local ingredients, which must be demonstrated in the annual Plan for Local Content that vendors submit in their membership application packages and renewals.⁴⁴ Vendors also submit year-end accounting records to OFM, documenting expenditures on ingredients in general and from local producers in particular.⁴⁵ This food reselling model, then, would require diligence in both record-keeping and ingredient supply chain tracking.

OFMA does have a community table category for charities and non-profit organizations to promote themselves, but these tables cannot sell products that would compete with market vendors.⁴⁶ So, while Foodsharing Ottawa would need a prepared food vendor table to sell food directly to customers, if they operated a food box membership model, they would likely be able to promote it at a community table, as they would not be offering any on-site food item that would immediately compete with vendors' goods.

Food Box Membership Model

With this model, critically, Foodsharing Ottawa would need to clarify whether the membership model applied to a food box program operated within the organization, or if participants became members of the organization itself. In the case of the latter option, the *Not-for-Profit Corporations Act* outlines specific requirements. Foodsharing Ottawa would need to

⁴³ “[Vendors’ Handbook – Rules & Regulations – Lansdowne Park Market, 2023 Market Season](#)” (2023) s 12, online (pdf): Ottawa Farmers’ Market.

⁴⁴ *Ibid* at Appendix B1 Schedule A.

⁴⁵ *Ibid*.

⁴⁶ *Ibid* at 57.

outline membership conditions in its by-laws.⁴⁷ They would also need to decide if corporate membership comprised one tier (in which members are entitled to vote at any members meeting) or multiple tiers (in which case the corporate members with voting rights could be in a separate tier from the food box members).⁴⁸ Moreover, the directors of Foodsharing Ottawa would be required to call annual members' meetings where they share the organization's financial statements and any related reports.⁴⁹

IV. Food Quality and Processing Standards

While rescued food is often aesthetically irregular or else near its best-before date, Canadian food law does not prohibit the sale of foods based on these grounds. Under the *Food and Drugs Act*, it is against the law to sell food that is unfit for human consumption,⁵⁰ or is “filthy, putrid, disgusting, rotten, decomposed or diseased animal or vegetable substance.”⁵¹ These terms as standalone descriptors are not defined in the law and can therefore be understood by their ordinary meanings.⁵² The law is silent around the sale of produce that is bruised, misshapen, or otherwise cosmetically unusual. This silence indicates that rescued produce with cosmetic flaws alone can still be legally resold as long as it is not rotting or otherwise unfit to eat.

⁴⁷ NFPCA *supra* note 4 at 48(1).

⁴⁸ *Ibid* s 48(5).

⁴⁹ *Ibid* ss 52(1) and 84(1)..

⁵⁰ *Food and Drugs Act*, RSC 1985, c F-27, s 4(1)(b).

⁵¹ *Ibid* at 4(1)(c).

⁵² [Understanding the Safe Food for Canadians Regulations – A Handbook for Food Businesses](#), Catalogue No A104-142/2018E-PDF (Ottawa, Canadian Food Inspection Agency, 2018) at 4.

There are no laws or regulations against the sale of food after its best-before date.⁵³ Best-before dates on products are indicators of a product's freshness, taste, and nutritional value, but do not reflect the product's safety for consumption.⁵⁴ Foodsharing Ottawa may redistribute packaged foods that have passed their best-before dates. They may also use such foods as ingredients in prepared goods as long as the food remains fit for human consumption.

Home-Based Food Business Model

The Government of Ontario allows food producers to sell certain homemade foods, meaning items not prepared in commercial kitchens. These foods must be considered “low-risk,” meaning they are considered non-hazardous and do not require time or temperature control to be made fit for consumption. Examples include:

- most baked goods (without custard);
- most breads and buns (without perishable fillings such as meat, cream, etc.);
- cakes (so long as icing does not require refrigeration);
- brownies, muffins, and cookies;
- pickled goods;
- jams, jellies, and preserves;
- confectionary (chocolate, hard candies and brittles, fudge and toffees);
- granola and trail mix;
- nuts and seeds;
- coffee beans and tea leaves.⁵⁵

In this category, home kitchens need to comply with the Ontario *Health Protection and Promotion Act* and the *Food Premises Regulation*. Importantly, these kitchens are exempt from certain commercial kitchen requirements: they do not require a separate dishwashing sink, they

⁵³ Daniel Miller, Executive Director of Food Labelling, CFIA, “[Just Eat It: A Food Waste Story](#)” (2014) at 00h:52m:48s, online (video): Food Waste Movie.

⁵⁴ “[How to read food labels and packaging](#)” (13 August 2013), online: Health Canada.

⁵⁵ MoH *supra* note 4.

do not need to follow commercial dishwashing requirements, and the employees of the kitchen do not need food handler training and certification.⁵⁶ Food prepared in this context could be sold online on Foodsharing Ottawa’s website, at special events, or at farmers’ markets.

Farmers’ Market / Special Event Vendor Model

Farmers’ markets are generally exempt from the Ontario *Food Premises Regulation*.⁵⁷ The public health vendor applications require details about the type of food sold, where it is prepared, and practices around food safety, employee hygiene, and cleaning and waste disposal.⁵⁸ To avoid having to meet higher food safety thresholds such as food handler training for volunteers, Foodsharing Ottawa could sell only low-risk foods at farmers’ markets, under a home-based food business model.

In contrast, at special events, Public Health Ottawa does not allow home-prepared foods, meaning the home-based food business model would not be applicable.⁵⁹ Public Health does allow food preparation on-site, including hot/cold holding, re-heating, and serving. Any hazardous food (“foods in which pathogenic microorganisms can grow or produce toxins,”⁶⁰ such as meat and seafood) needs to be purchased pre-cooked or else prepared in a kitchen that is approved by a Public Health Inspector.⁶¹ Because Foodsharing Ottawa does not presently have

⁵⁶ *Food Premises*, O reg 493/17 under *Health Protection and Promotion Act*, RSO 1990, c H.7. ss 3.1, 7(3)(c), 18, 32. [Premises].

⁵⁷ *Ibid* at 2(2)(c).

⁵⁸ Special Events *supra* note 40.

⁵⁹ “[Requirements for Food Vendors at Special Events](#)” (last visited 14 October 2023), online: Ottawa Public Health [Vendors].

⁶⁰ “[Food Safety: A Guide for Ontario’s Food Handlers](#)” 3rd ed (September 2018), online (pdf): Ontario Ministry of Health and Long-Term Care at 130.

⁶¹ Special Events *supra* note 40.

access to a commercial kitchen, selling donated prepackaged low-risk foods is likely the most viable approach for selling food at special events.⁶²

Food Box Membership Model

This discussion assumes that in this model, Foodsharing Ottawa redistributes food in the same state it was received, without further processing. While Foodsharing Ottawa could, in theory, include its own prepared food in its food boxes, the added step of preparing foods would add operational costs and volunteer coordination demands.

Under this model, Foodsharing Ottawa would need access to a consistent physical space for storing food and packing boxes. Depending on the food items included in the boxes, Foodsharing Ottawa might need temperature-controlling storage items such as refrigerators and freezers in that space so that the food remains fit to eat. This would create both upfront costs and ongoing energy costs for the organization.

V. Food Box Memberships as a Recommended Revenue Model

A food box membership model is the most straightforward initial option for Foodsharing Ottawa, financially and logistically. A home-based food business model, with or without the farmers' market sale option, would require more initial upfront costs. Foodsharing Ottawa would need to invest in an online sales platform and/or market stall fees as well as branding and advertising costs. Furthermore, if Foodsharing Ottawa committed to producing certain food items for sale (e.g., trail mix), they would need certain ingredients (e.g., raisins, peanuts) to be

⁶² Vendors *supra* note 63.

donated consistently in order to regularly batch-cook their sellable goods. With a food box system, Foodsharing Ottawa would not need to sustain a certain supply of given food items but could instead write their membership terms and conditions to reflect the varying and seasonal nature of food box contents. For example, the terms could state that “each box shall contain at least one portion of seasonal fruit.” This breadth would allow Foodsharing Ottawa to regularly supply boxes even with some unpredictability or inconsistency with donor contributions. One startup cost to bear in mind, however, would be the online platform required for members to join the program. Foodsharing Ottawa would need to add a page to their website to explain the food box membership model, stipulate terms and conditions, and allow for the processing of membership payments.

Lastly, once Foodsharing Ottawa builds a consistent revenue stream and member base with a food box model, they could use that income to fund the home-based food business model in the future. Foodsharing Ottawa could even use the food box model to pilot prepared goods to receive consumer feedback and refine recipes before selling the items. For example, one month’s food box could contain samples of muffins prepared by Foodsharing Ottawa, with a link to an online feedback form where members can explain which type they preferred and why. Further, if Foodsharing Ottawa ran both models in tandem, the food box model would provide a channel to redistribute any unsold perishable food items such as muffins. This would help prevent any internal food waste from the home-based food business model and align with Foodsharing Ottawa’s social and environmental objectives.

VI. Examples of food rescue nonprofits with membership-based revenue models

According to their organizational websites, most Canadian food rescue nonprofits generate operational funds through fundraising campaigns and events. Examples include Second Harvest (based in Toronto, Ontario),⁶³ Food for Life in Burlington, Ontario,⁶⁴ and the Leftovers Foundation in Alberta/Manitoba.⁶⁵ This section profiles four Canadian organizations that accrue those funds through membership-based models, either with food boxes or on-site “shopping” of rescued donated food.

3RQC (Gatineau, QC)

3RQC has a food box program that allows members to pay an access fee to an online platform where they can reserve a food box at the organization’s distribution centre.⁶⁶ Members can choose between two different box sizes to meet their needs. Members can also request specific items online (to be boxed by volunteers) or else select items themselves from 3RQC’s distribution facility.⁶⁷ The organization also operates a thrift store (*Friperie de l’Amitié*) and a rescued food café with both in-house dining and catering services (*Le Bistro*). They have also collaborated with Flirt drinks to produce Le Jus, a brand of canned lemonade and apple juice made from unclaimed rescued fruit from 3RQC’s distribution centre and sold in local grocery stores.⁶⁸ 3RQC states on its website that its revenue is reinvested into the operational costs of the organization.⁶⁹

⁶³ “[Fundraisers](#)” (last visited 3 November 2023), online: Second Harvest.

⁶⁴ “[Host an Event](#)” (last visited 3 November 2023), online: Food for Life.

⁶⁵ “[Leftovers Foundation - Home](#)” (last visited 3 November 2023), online: Leftovers Foundation.

⁶⁶ Accueil *supra* note 19.

⁶⁷ *Ibid.*

⁶⁸ “[FAQ](#)” (last visited 20 November 2023), online: 3R Québec.

⁶⁹ *Ibid.*

Feed it Forward (Toronto, ON)

This nonprofit organization runs a pay-what-you-can grocery store and café, which it describes as the first and only operation of its kind in Canada.⁷⁰ Like 3RQC, the store does not sell the food items directly to the public. Patrons make monetary donations to the organization and, in exchange, receive points that they can use towards food items to take home in a token system. One point is worth \$0.50 CAD, so a package of pasta (2 points) and a can of sauce (2 points) would add up to the equivalent of a \$2.00 donation. Feed it Forward's website explains that donations go into a "token pool" that supports operational costs, suggesting that money collected in the store does not generate profit but instead covers expenses.⁷¹ The site also explains that fresh fruit and vegetables at the store are "meant to be utilized within 3 days."⁷² The website does not offer further information on the terms of membership or donation/points agreements.

Food Stash Foundation (Vancouver, BC)

Food Stash Foundation is a registered charity in Vancouver that delivers weekly boxes of rescued food to customers for a nominal fee.⁷³ In their model, customers do not pay for the food items themselves, but pay a membership fee for the service. The boxes are typically 20-25lbs and comprised primarily of produce, meat and dairy products, and occasional bakery items.⁷⁴ Food Stash freezes all donated meat. Dairy items are distributed within a week of the best-before date.

⁷⁰ "[Store Front](#)" (last visited 16 November 2023), online: Feed It Forward.

⁷¹ *Ibid.*

⁷² *Ibid.*

⁷³ Food Stash *supra* note 17.

⁷⁴ Anna Gray *supra* note 18.

Part of the membership package includes educational materials explaining rescued food and best before dates, and giving customers safety instructions for how to tell if a product is spoiled and unsafe to eat.⁷⁵

Quest Food Exchange (Vancouver, BC)

Quest Food Exchange’s “grocery experience” markets redistribute rescued donated food to households facing economic barriers. Part of their mandate is to preserve client dignity through a distribution model that looks and feels more like a grocery store than a food bank. The markets are not open to the public but instead serve clients referred by other organizations (e.g., non-profits, churches) or professionals (e.g., social workers, doctors, teachers). Individuals who receive income assistance automatically qualify to become clients.⁷⁶ These clients are eligible to access the grocery markets by purchasing a membership card priced at \$10 minimum per year.⁷⁷ Most of Quest’s food inventory is rescued, but some is sourced from food growers/distributors who specifically serve lower-income communities.⁷⁸

Conclusion

Foodsharing Ottawa holds a twofold mission of mitigating food insecurity at a local level and reducing the environmental footprint of food waste. By updating donor agreements and seeking legal assistance with drafting terms and conditions of a membership model, Foodsharing Ottawa would be able to both generate operational revenue and work further towards its mission by giving community access to inventories of surplus food items. Moreover, this broadening of

⁷⁵ *Ibid.*

⁷⁶ “[Become a Client](#)” (last visited 22 November 2023), online: Quest Food Exchange.

⁷⁷ “[Quest Outreach AGM](#)” (last visited 22 November 2023), online: Quest Food Exchange.

⁷⁸ “[Our Story](#)” (last visited 22 November 2023), online: Quest Food Exchange.

the organization's community relationships could also serve as a platform for food waste education. In its membership boxes or on its registration platform, Foodsharing Ottawa can include educational materials on how to read food date labels or how to detect when food is no longer fit to consume. Such information could help prevent situations where members throw away the goods they receive only because the best before date on the item has passed, or because produce is bruised or discoloured. This would undermine Foodsharing Ottawa's food rescue mandate.

Because each of the three suggested revenue models require some sort physical space for cooking, storage, processing space, Foodsharing Ottawa should, as an initial step, take stock of available space and storage items (such as freezers) in its volunteer, donor, and partner networks. Also, because each model would require updated terms to their donor agreements and updates or expansions to their online presence, they will need to survey their volunteer and affiliate networks for lawyers, web designers, and communications specialists who could assist with the next steps of launching a successful revenue stream.

The examples of 3RQC, Feed it Forward, Food Stash Foundation, and Quest Food Exchange show that the food box membership model is a replicable and fairly flexible one whose membership and distribution structure can be modified depending on demand, logistics, or organizational mission. By pursuing this model, Foodsharing Ottawa and similar organizations can further their mission and, with a revenue stream, divest time and energy away from fundraising work and towards furthering its environmental and humanitarian aims.

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